



TABLE 2
TARIFF RATE CHANGES IN SCHEDULE 1 TO THE CUSTOMS TARIFF
EFFECTIVE 02.02.2022

S.No.	CTH/Tariff item	Commodity	From	To
1	9018 32 30, 9018 50 20, 9018 90 21, 9018 90 24, 9018 90 43, 9018 90 95, 9018 90 96, 9018 90 97, 9018 90 98	Specific instruments and appliances used in medical, surgical, dental, or veterinary sciences like tonometer, tubular needles for medical sutures, etc	10%	5%
2	9018 (other than above items and 9018 90 99)	Other medical equipment and medical related goods used in medical, surgical, dental, or veterinary sciences like catheters, cannulae, defibrillator, etc	10%	7.50%
3	9022 14 20 or 9022 14 90	X-ray machines for medical, surgical, dental, or veterinary use	7.50%	10%

TABLE 3
PMP FOR WRIST WEARABLE DEVICES (SMART WATCHES)

S.No.	Chapter, heading, sub-heading, or tariff item	Commodity	From	To			
				2022-23	2023-24	2024-25	2025-26
1	8517 79 10	PCBA	NIL	NIL	10%	15%	15%
2	8544	Charging cable	10%	NIL	5%	10%	15%
3	39, 73, 85	Specified parts of wearable devices	As per CTH	NIL	5%	10%	15%
4	8507 60 00/ 8507 80 00	Battery	15%	NIL	5%	10%	15%
5	8517 79 90	Display Assembly	NIL	NIL	NIL	5%	10%
6	8501	Vibrator Motor	10%	10%	10%	10%	10%
7	Any Chapter	Parts, sub-parts, and raw materials for use in the manufacture of the S. No. 1-6 above	As per CTH	NIL	NIL	NIL	NIL
8	8517 62 90	Wrist wearable devices (commonly known as smart watches)	20%	20%	20%	20%	20%

tion of these entries the exemption is completely lost, because there are alternative exemptions which are also available. This is more of a rationalisation or fine tuning of notifications.

Phased manufacturing programme (PMP)

Phased manufacturing schemes for wearable and hearable devices—a growing market segment in electronics—as well as smart meters, has also been a welcome move of the government, which is expected to put these high-growth sectors on track for domestic value added manufacturing. It provides the opportunity for the industry to have access to raw materials in India. As expected, there have been tweaks made in the exemptions, with rates being increased in a phased manner.

PMP for wrist-wearable devices.

Regarding PMP for wrist-wearable devices (smart watches), parts (1 to 7) in Table 3 for manufacture of wearable devices fall under Tariff

item 8517 62 90 of the Customs Tariff.

For smartwatches, the tariff rate had been 20% under Chapter 8917 and there was no exemption. Chapter 8517, however, specifically excludes smartwatches from exemption. As far as other items included in the exemption Notification 11/22, they have been given exemption as of now, but the rates are going to increase over a period of time.

PMP for hearable devices. Parts (1 to 7) in Table 4 for manufacture of hearable devices fall under Tariff item 8518 21, 8518 22, 8518 29 or 8518 30 of the Customs Tariff.

For hearable devices, the notification provides a clear definition as to what would be considered as a hearable device. Similarly, items for these have also been given exemption in a phased manner.

PMP for smart meters. The parts in Table 5 for manufacture of hearable devices fall under Tariff item 9028 30 10 of the Customs Tariff.

The Lackeys

While the exemptions are much appreciated, they still have plenty of gray areas. There are items which have been listed under multiple chapters that have different exemption rates. For instance, a communication module is an item listed under smart meters' exemption under 8517 69 60, but there are some communication modules which will also go under 8517 62 90 because they have the ability to communicate on their own on a standalone basis. In that case, under which chapter should these be classified by the importer to be able to get the exemption?

“It is important that before any change has been effected in terms of imports, there must be a clarity as regards the availability of exemption notification and the chances of litigation once the exemption is claimed by the importers. This is just one example to show how changes have been made to the tariffs but there are some things lacking which should be addressed or they may bite us later,” says Jain.

To dos promised

Here's a list of initiatives promised by the FM, which relate directly to tech.

1. Optical fibre solutions.

Contracts for laying optical fibre in villages to be awarded under Bharat-Net project under PPP in 2022-23. When executed, this should result in good demand for fibre-optics and related electronics.

2. 5G equipment and devices.

Scheme for design led manufacturing to be launched for 5G ecosystem as part of PLI scheme to enable affordable broadband and mobile communication in rural and remote areas. This will provide and promote R&D and commercialisation of tech and solutions.

3. E-passports with chips. The issuance of E-passports using em-